

FINANCIAL INTELLIGENCE COMPLIANCE DIVISION

SUSPICIOUS TRANSACTION REPORT (STR)

CONFIDENTIAL · REGULATORY SUBMISSION DRAFT

Subject Customer ID:	CUST_101	Report Generated:	2026-09-01 13:41:34 UTC
Subject Name:	Aarav Sharma	Adjudication:	■ DRAFT REGULATOR-READY STR (High Risk / Suspicious Pattern Confirmed)
Regulatory Framework:	FIU-IND / FATF PMLA Guidelines	Filing Priority:	High Priority Escalate

SUSPICIOUS TRANSACTION REPORT (STR)

1. REPORT METADATA

* **Subject ID:** CUST_101

* **Subject Name:** Aarav Sharma

* **Filing Classification:** High Priority Suspicious Activity Filing

* **Core Typology:** Structuring (Smurfing) & Threshold Evasion

2. EXECUTIVE SUMMARY

This Suspicious Transaction Report (STR) is formally filed regarding CUST_101, Aarav Sharma, who maintains a digital account with an unverified retail micro-business profile. The subject triggered high-priority AML alerts due to a classic **Structuring (Smurfing)** pattern, characterized by two high-value physical cash deposits (\$9,200 and \$9,900) executed within a strict 48-hour window, collectively totaling \$19,100. Both transactions sit precisely in the high-risk sub-threshold zone (92% and 99% of the \$10,000 Currency Transaction Report limit), accompanied by a 0:100 routine-to-anomalous ledger ratio and a complete absence of legitimate business operational outflows.

3. SUBJECT & KYC CONTEXT

* **Declared Occupation:** Retail Store Owner.

* **Income Plausibility Analysis:** While retail entities routinely process physical cash, the transactional profile severely violates economic and operational plausibility. The account exhibits zero operational expenses (e.g., supplier invoices, commercial rent, utilities, or payroll) typical of a functioning retail enterprise.

* **Profile Context:** The account operates on standard digital KYC with no historical baseline or prior transactional history. The complete lack of operational outflows combined with pure, high-value cash inflows indicates that the retail facade is likely being utilized as a front or cover for illicit cash placement.

4. CHRONOLOGY OF SUSPICIOUS TRANSACTIONS

Timestamp (UTC)	Transaction Type	Amount (USD)	% of CTR Threshold	Flagged Reason / Behavioral Indicator
2026-03-04 11:00	Physical Cash Deposit	+\$9,200.00	92%	High-value placement; initial sub-threshold targeting.
2026-03-06 11:30	Physical Cash Deposit	+\$9,900.00	99%	Executed 48.5 hours after initial deposit; cumulative total reaches \$19,100.

5. TYPOLOGY & REGULATORY GUIDELINES ANALYSIS

* **Primary Typology:** Structuring (Smurfing) / Evasion of Regulatory Reporting Thresholds.

* **FATF Recommendation 20:** Requires financial institutions to report suspicious transactions when there are reasonable grounds to suspect that funds are proceeds of crime, specifically addressing patterns designed to circumvent reporting limits.

* **FATF Recommendation 10 (CDD):** Mandates enhanced scrutiny on transactions structured to avoid statutory thresholds.

* **PMLA, 2002 / FIU-IND Guidance Notes:** Under relevant anti-money laundering frameworks and rules governing integrally connected transactions, the deliberate splitting of cash deposits below reporting limits to evade Currency Transaction Reports (CTRs) constitutes explicit regulatory non-compliance and mandates STR submission.

6. FALSE-POSITIVE VS TRUE-POSITIVE EVALUATION

* **False-Positive Counter-Argument Considered:** Retail store owners occasionally accept physical cash and may deposit lump sums following heavy trading periods (e.g., weekends).

* **True-Positive Justification (Definitive Indicators):**

- 1. *Mathematical Precision:* The statistical probability of organically collecting two separate cash volumes that sit precisely at \$9,200 and \$9,900 just under the \$10,000 threshold within 48 hours is negligible.**
 - 2. *Tight Velocity Window:* The 48.5-hour interval indicates a coordinated effort to evade weekly batch aggregations.**
 - 3. *Zero Operational Ledger Activity:* The 0:100 routine-to-anomalous ratio completely invalidates the retail business justification, confirming the account is dedicated entirely to cash placement.**
- * **Adjudication:** Evaluated as a **True Positive** with a Quantified Risk Score of **85/100 (High Confidence)**.
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7. COMPLIANCE OFFICER CONCLUSION & RECOMMENDED ACTIONS

* **Final Adjudication:** Confirmed active illicit placement and structuring scheme intended to evade regulatory oversight.

* **Recommended Actions:**

- 1. **Immediate Account Restrictions:** Place a freeze on all outbound transfers and restrict further cash deposits pending complete source-of-funds verification.**
 - 2. **Enhanced Monitoring:** Implement real-time monitoring on any secondary accounts or associated beneficial owners linked to Subject ID CUST_101.**
 - 3. **Law Enforcement Escalation:** Transmit this STR dossier to FIU-IND / FinCEN authorities and prepare a referral to domestic law enforcement for potential investigation into unregistered Money Services Business (MSB) operations, tax evasion, or money laundering.**
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